

As soon the market opened on Monday, a deluge of sell orders hit the trading screens as many traders liquidated their long positions, unable to pay the additional margins. A SEBI probe would reveal exactly a year later that the maximum damage was caused by sell orders from UBS Securities Asia.

The Swiss broking firm dumped shares worth Rs 188 crore within minutes of the market-opening. SEBI found that the broking firm had short positions of a cumulative Rs 726 crore in Nifty index futures and some stock futures. When share prices fell sharply, the index and stock futures too moved lower in tandem. The investigation showed that UBS made a loss of around Rs 17 crore on its cash market sales, but gained around Rs 59 crore on its futures positions. On the face of it, UBS stood to gain if prices fell sharply.

UBS initially told SEBI that it had sold the shares in its proprietary account. Later, it changed its version, saying it had sold the shares and futures on behalf of clients who had exposure to India via participatory notes.

Participatory notes – P-notes or PNs – were derivative instruments issued by SEBI-registered FIIs. The buyers of these instruments were overseas investors who were either ineligible or chose not to register with SEBI. Often, the supposed buyer of the P-note was merely a front for another investor, and that investor too was often a front for still somebody else. And the chain was so long the ultimate beneficiary was well shielded from the regulator's gaze. The Joint Parliamentary Committee probing the 2001 securities scam had found plenty of instances of wide misuse of PNs during the technology boom of 1999-2000.

Promoters found PNs a convenient tool to launder black money and to prop up their share prices. The peculiar structure of PNs made it difficult for SEBI to trace the true owner; more so if he/they/it happened to be domiciled in a tax haven where banks could refuse to disclose the identity of their customers, citing confidentiality laws.

SEBI asked UBS to disclose the identities of the beneficiaries of the PN accounts. UBS stonewalled SEBI, saying its clients were refusing to cooperate. Under the rules, FIIs were required to be aware of the identity of their PN clients and provide their details to the regulator when asked for them. UBS's inability or reluctance to disclose the names only strengthened